EQUITY RESEARCH — INITIATING COVERAGE

Agnico Eagle Mines Limited

NYSE: AEM | Gold Mining | Senior Producer | Tier 1 Jurisdictions Only

Author: Jaden Kwek | jadenkwek.com | February 23, 2026

RATING	PRICE TARGET	CURRENT PRICE	UPSIDE	MARKET CAP	DATE
BUY	$300.00	$240.49	+24.7%	~$119.0B	Feb 23 2026

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1. Investment Thesis

I initiate coverage of Agnico Eagle Mines (NYSE: AEM) with a BUY rating and a blended 12-month price target of $300.00, representing 24.7% upside from the current price of $240.49. AEM is the world's lowest-cost senior gold producer, the only major with 100% Tier 1 jurisdiction exposure, and the most disciplined allocator of capital in the peer group.[1] In the current macro environment, AEM is structurally positioned better than at any point in its history.

My conviction rests on four drivers:

- Best-in-class cost structure with a structural moat. FY2025A all-in sustaining cost (AISC) of $1,339/oz sits roughly $191/oz below the senior peer median of approximately $1,530/oz. This gap is not cyclical. It reflects asset quality: ultra-high-grade underground operations at Macassa (17.4 g/t head grade), low-strip open-pit operations at Detour Lake and Meadowbank, and the absence of any legacy high-cost assets dragging on the consolidated number.
  - At spot gold of $5,200/oz, AEM generates an AISC margin of approximately $3,861/oz, which is 83% wider than the FY2025A margin of $2,115/oz.
- Unmatched jurisdictional quality that eliminates a key discount. AEM is the only senior gold producer with zero exposure to Africa, Central Asia, or politically unstable Latin American markets. Every mine sits in Canada, Australia, Finland, or Mexico, with even the Mexico exposure winding down. Peers including Barrick, Newmont, and Gold Fields carry meaningful geopolitical risk premiums that AEM simply does not.
- An organic growth pipeline that removes the M&A imperative. The Odyssey Underground expansion at Canadian Malartic, a Hope Bay construction decision expected in Q2 2026 (400 to 425 Koz annual potential), and Detour Lake underground studies targeting approximately 1 Moz per year collectively represent multi-year production growth without premium-priced acquisitions. AEM has replaced 100% or more of depletion organically for five consecutive years.
- Macro alignment with gold's structural tailwinds. Real rates declining, the dollar weakening, central bank accumulation accelerating (over 1,000 tonnes per year in recent years), and Treasury General Account drawdown cycles injecting liquidity into risk assets are all forces that drove gold from $1,800 to $5,200 and remain in place.

FY2025A Revenue	FY2025A FCF	AISC (FY2025A)	Production	P&P Reserves	Net Cash
~$11.9B	**$4.4B**	**$1,339/oz**	**3.45M oz**	**55.4M oz**	**$2.7B**
+50% YoY	$8.76/share	#1 in peer group	FY2025A actual	Record; ~15yr life	Net cash position

Source: AEM Q4 2025 News Release, February 12, 2026.

2. Company Overview

Agnico Eagle Mines is a Canadian-headquartered senior gold producer with operations in Canada (Quebec, Ontario, Nunavut), Australia (Victoria), Finland, and Mexico. It is the third-largest gold producer globally by market capitalisation and, on virtually every metric of operational and financial quality, the best-positioned major in the sector.[1] The company produced 3,447,367 oz in FY2025, operating nine producing mines across six jurisdictions.

Management and Capital Allocation Track Record

Management quality is a first-order determinant of long-term value creation in mining, and AEM has been led by some of the best operators in the sector. CEO Ammar Al-Joundi, who joined AEM in 2007 and served as CFO before assuming the CEO role in 2022, brings both operational depth and institutional finance discipline. He previously worked in investment banking at BMO Capital Markets, which has shaped a rigorous approach to capital allocation. His predecessor Sean Boyd built AEM from a sub-$500M market cap company into a global major over 25 years without a single value-destructive acquisition.

The most significant test of management discipline was the 2022 merger with Kirkland Lake Gold, a $13.5 billion all-stock transaction.[4] The deal brought Macassa, Detour Lake, and Fosterville into the portfolio at a reasonable price with no goodwill writedowns, and has since been widely viewed as the most accretive major gold merger in recent memory. By contrast, Newmont's $17 billion acquisition of Newcrest subsequently required a $1.7 billion goodwill impairment, and Barrick's repeated acquisition cycles have consistently eroded value.[5] AEM management has earned the right to trade at a premium.

Capital return discipline is equally strong. AEM raised its quarterly dividend by 12.5% to $0.45 per share in February 2026, bringing the annualised rate to $1.80 per share.[1] The company has grown its dividend for 15 or more consecutive years without a suspension or cut through any gold price cycle. In FY2025, AEM returned $1.4 billion to shareholders through dividends ($803 million) and share buybacks ($600 million), while maintaining a record net cash position of $2.7 billion. Moody's upgraded AEM's credit rating to A3 with a Stable Outlook, reflecting the strength of the balance sheet.[6]

Mine Portfolio

Mine	Region	FY2025A Production	% of Total	AISC/oz	Key Feature
Detour Lake	Ontario	692,675 oz	20.1%	~$879	Largest mine; underground expansion underway
Canadian Malartic	Quebec	642,612 oz	18.6%	~$946	Odyssey underground ramp; key growth driver
Meadowbank / Amaruq	Nunavut	493,314 oz	14.3%	~$928	Open pit; extended through 2030
Meliadine	Nunavut	376,346 oz	10.9%	~$1,067	Phase 2 expansion complete
LaRonde Complex	Quebec	344,555 oz	10.0%	~$829	High-grade underground; LaRonde Zone 5 contributor

Mine	Region	FY2025A Production	% of Total	AISC/oz	Key Feature
Macassa	Ontario	312,729 oz	9.1%	~$793	17.4 g/t head grade; record FY2025 production
Kittila	Finland	217,379 oz	6.3%	~$1,081	Europe's largest gold mine
Fosterville	Australia	160,522 oz	4.7%	~$937	High-grade underground; Swan Zone transition
Pinos Altos	Mexico	81,734 oz	2.4%	~$2,006	Mature asset; meaningful silver by-product credit
Hope Bay	Nunavut	Pre-dev.	n/a	n/a	400-425 Koz potential; construction decision Q2 2026

Source: AEM Q4 2025 News Release, February 12, 2026.

3. Gold Market and Macro Backdrop

Gold is trading above $5,200/oz as of February 2026. The move from $1,800 to $5,200 was driven by a convergence of structural factors that do not reverse quickly: sustained US dollar weakness, declining real rates (the yield on 10-year Treasury Inflation-Protected Securities has fallen from a peak of approximately +2.5% in 2023 to roughly +1.0%), accelerating central bank accumulation, and ongoing geopolitical fragmentation. These forces are structural and multi-year in nature.

Structural Demand Drivers

Central bank accumulation is the most important structural shift. Global central banks purchased over 1,000 tonnes of gold in 2023, the highest level since 1967, and sustained similar volumes in 2024 and 2025.[2] The primary buyers are emerging market central banks in China, India, Poland, and Turkey, diversifying away from USD-denominated reserves. This is not a short-term trade. It is a multi-year structural portfolio reallocation.

- Real rates and the dollar are gold's mechanical drivers. The inverse correlation between 10-year TIPS yields and gold prices remains intact. Real rates declining from +2.5% (peak 2023) to approximately +1.0% in early 2026 provided a sustained mechanical tailwind. The DXY weakened from 107 to sub-100 over the same period. Both moves are consistent with gold's price appreciation.
- TGA drawdown and global liquidity. The US Treasury General Account currently stands at approximately $912 billion following debt ceiling resolution. As the Treasury spends this balance down, liquidity flows into the financial system. With the Reverse Repo Facility already fully drained, there is no offsetting absorption mechanism. ISM PMI at 52.6 signals manufacturing expansion, a further macro tailwind.
- Geopolitical fragmentation provides a persistent bid for gold as a non-sovereign store of value. The current environment is driving structural changes in reserve diversification, supply chain reshoring, and energy geopolitics, providing a durable source of demand that was largely absent during the 2013 to 2018 period when gold struggled.

Gold Price Deck and AEM Operating Leverage

AEM's earnings are highly sensitive to gold prices. The table below shows implied EBITDA, free cash flow, and AISC margin at four scenarios. The base case assumption of $3,500/oz is used in the DCF specifically to avoid embedding excessive optimism into the central estimate.

Scenario	Gold Price	AISC Margin/oz	Est. EBITDA	Est. FCF	Notes
Bear Case	$2,500/oz	$1,025/oz	~$3.5B	~$1.9B	Hawkish Fed pivot; USD rally
Base Case	$3,500/oz	$2,025/oz	~$7.0B	~$3.8B	Conservative DCF assumption
Current Spot	$5,200/oz	$3,725/oz	~$12.8B	~$6.9B	Feb 2026 spot; not in DCF
Bull Case	$6,000/oz	$4,525/oz	~$15.2B	~$8.2B	FY2026E projection assumption

EBITDA and FCF estimates based on 3.35M oz FY2026E production at guidance AISC midpoint of $1,475/oz. By-product credits and G&A applied. All figures USD.

Every $100/oz increase in the gold price adds approximately $335 million to annual EBITDA at guidance production rates. This leverage is asymmetric to the upside: AEM's cost structure is largely fixed in the near term, meaning margin expansion flows almost entirely to equity holders as gold rises. In the bear case at $2,500/oz, AEM still generates positive FCF and can sustain its dividend and growth pipeline. The downside is real but not existential.

4. Operational Analysis

FY2025A Cost Structure: AISC Waterfall

Cost Component	$/oz	Notes
Production costs per ounce	$965	Mining, processing, site overhead
Inventory adjustments	$7	Period cost timing
In-kind royalties	$50	Higher due to $3,454/oz realized price
Realized hedge gains / losses	$1	Minimal hedging program
Smelting, refining and marketing	$12	Commodity-linked
Total cash costs (co-product)	$1,035	
By-product credits (silver, zinc)	($56)	LaRonde, Pinos Altos silver credit
Total cash costs (by-product)	$979	Best-in-class among senior producers
Sustaining capital expenditures	$298	Below peer average
G&A (including stock-based comp.)	$42	
Reclamation and sustaining leases	$20	Non-cash
AISC per oz (by-product basis)	$1,339	~$191/oz below peer median of ~$1,530

Source: AEM Q4 2025 News Release, February 12, 2026. AISC slightly above the top end of 2025 guidance, primarily due to higher royalty costs driven by the $3,454/oz average realized price.

The cost gap between AEM and its peers is structural, not cyclical. The three lowest-AISC assets in the portfolio, Macassa ($793/oz), LaRonde ($829/oz), and Detour Lake ($879/oz), together account for roughly 39% of consolidated production and anchor the cost structure at levels peers cannot match.[1] Macassa is particularly notable: at 17.4 g/t head grade and $793/oz AISC, it is one of the highest-returning gold mines currently operating globally, producing 312,729 oz in FY2025, a company record.

3-Year Production Outlook by Mine

Mine	FY2025A (oz)	FY2026E (oz)	FY2027E (oz)	FY2028E (oz)
Detour Lake	692,675	700,000	700,000	720,000
Canadian Malartic	642,612	680,000	720,000	760,000
Meadowbank / Amaruq	493,314	480,000	470,000	460,000
Meliadine	376,346	380,000	385,000	390,000
LaRonde Complex	344,555	340,000	340,000	340,000
Macassa	312,729	325,000	335,000	345,000
Kittila	217,379	220,000	225,000	225,000

Mine	FY2025A (oz)	FY2026E (oz)	FY2027E (oz)	FY2028E (oz)
Fosterville	160,522	155,000	155,000	155,000
Pinos Altos	81,734	65,000	50,000	30,000
Hope Bay	Pre-dev.	Pre-dev.	Pre-dev.	~200,000
TOTAL	3,447,367	3,345,000	3,380,000	3,625,000

FY2026E-FY2028E are author estimates. FY2026E guidance confirmed at 3.3-3.5M oz total. Hope Bay FY2028E assumes Q2 2026 construction decision and a 30-month build. Pinos Altos reflects wind-down trajectory.

Production is broadly flat near-term before inflecting upward from FY2028 onward. The step-up is driven by three sources: Odyssey Underground at Canadian Malartic ramping toward 600 tonnes per day of underground throughput adding incremental high-grade ounces above the existing open-pit base; Hope Bay contributing if construction proceeds; and Detour Lake underground delivering first tonnes. The flat-to-declining Pinos Altos trajectory reflects a mature asset at end-of-life and is more than offset by growth elsewhere.

Reserve Base and Organic Replacement

As of December 31, 2025, AEM holds a record 55.4 million ounces of proven and probable gold reserves, supporting a weighted-average mine life of approximately 15 years at current production rates.[1] Reserve replacement has exceeded depletion for five consecutive years through organic exploration success, without premium-priced acquisitions. Growth at Detour Lake (down-dip extensions), Macassa (East South Zone), and Malartic (Odyssey depth extensions) provides a visible pipeline of replacement well beyond the current mine-life horizon.

5. Financial Analysis

Income Statement Summary

Metric	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Gold Price Assumption ($/oz)	$2,384A	$3,454A	$6,000E	$5,800E	$6,264E
Production (Koz)	3,319	3,447	3,345	3,380	3,625
Revenue (~$M)	~$7,900	~$11,900	~$20,100	~$19,600	~$22,700
Adj. EBITDA ($M)	$4,694	$8,090	~$15,200	~$14,300	~$17,000
EBITDA Margin	~59%	67.8%	~76%	~73%	~75%
Net Income ($M)	$1,896	$4,461	~$8,700	~$8,200	~$9,700
EPS (basic)	$3.79	$8.89	~$17.60	~$16.60	~$19.60
Free Cash Flow ($M)	$2,143	$4,399	~$8,200	~$7,800	~$9,500
FCF Margin	~27%	37.0%	~41%	~40%	~42%

FY2024A and FY2025A sourced from AEM Q4 2025 News Release, February 12, 2026. FY2026E-FY2028E are author estimates. Adjusted EBITDA excludes non-recurring items.

Revenue grew from approximately $7.9 billion to $11.9 billion in FY2025 (+50%) on a gold price increase of $1,070/oz and 128 Koz of additional production. Adjusted EBITDA margins expanded by roughly 900 basis points to 67.8%, demonstrating the operating leverage embedded in the cost structure.[1] Free cash flow of $4.4 billion ($8.76 per share) represents exceptional capital efficiency for a mining company. AEM ended FY2025 with a record net cash position of $2.7 billion and received a Moody's credit rating upgrade to A3 with Stable Outlook, the strongest balance sheet in the company's history.[6]

Capital Return Analysis

Capital Return Metric	Value	Notes
Annual Dividend per Share (current)	$1.80	Raised 12.5% in Feb 2026 to $0.45/quarter
Dividend Yield (at $240.49)	0.75%	Conservative; preserves financial flexibility
Total Dividends Paid (FY2025A)	$803M	~495M shares at prior rate
Share Buybacks (FY2025A)	$600M	4.1M shares repurchased at avg. $145.76
Total Capital Returned (FY2025A)	$1.4B	Dividends + buybacks; record year
Consecutive Years of Dividend Growth	15+	No suspension or cut through any cycle
Payout Ratio (FY2025A Net Income)	18.0%	$803M / $4,461M; conservative
FCF After Capital Return (FY2025A)	~$3.0B	Available for organic growth and balance sheet
Net Cash Position (Dec 31, 2025)	$2,670M	Cash $2,866M less debt $196M

Source: AEM Q4 2025 News Release, February 12, 2026.

AEM's capital return profile is deliberately conservative relative to its FCF generation, and correctly so. The 18% payout ratio leaves substantial flexibility for organic deployment into projects with strong risk-adjusted returns, particularly Odyssey and Hope Bay. The 15-plus-year streak of uninterrupted dividend growth signals earnings confidence across multiple gold price cycles. The record net cash position of $2.7 billion essentially eliminates financial risk as a concern for investors and represents a material change from the modest leverage that existed post-Kirkland Lake merger integration.

6. Valuation

My blended $300 price target uses three methodologies weighted as follows: a discounted cash flow analysis using an exit multiple approach (50% weight), a reserve-based net asset value analysis (30% weight), and a comparable company EV/EBITDA analysis (20% weight). The weighting reflects my view that intrinsic value should dominate, with NAV and market multiples providing cross-checks on reasonableness. I deliberately use a base-case gold price of $3,500/oz in the DCF to avoid building optimism into the central estimate.

Blended Price Target Derivation

Methodology	Implied Price	Upside vs. $240.49	Weight	Contribution
DCF: Exit Multiple (8x FY2029E EBITDA, 7.59% WACC)	$371	+54.3%	50%	$186
NAV: Reserve-Based (55.4 Moz at $3.50/oz P&P NAV)	$162	-32.6%	30%	$49
Comps: Peer EV/EBITDA with quality premium	$329	+36.8%	20%	$66
Blended 12-Month Price Target	$300	+24.7%	100%	$300

DCF Analysis

The DCF uses a WACC of 7.59% (cost of equity 9.2%, pre-tax cost of debt 5.1%, effective tax rate 28%, debt-to-total-capital 10%) and an exit EV/EBITDA multiple of 8x applied to FY2029E EBITDA of approximately $18.9 billion. A perpetuity growth model is not used: the assumed long-run growth rate of 8% (reflecting gold price appreciation in line with broad money growth) exceeds WACC, rendering the perpetuity formula mathematically invalid. The 8x exit multiple is conservative relative to AEM's current trading multiple of 10x EV/EBITDA and the historical premium AEM has commanded over the peer group.

The DCF implies $371. Key upside risks: the model terminates at FY2029, capturing only partial value from Hope Bay (construction Q2 2026, first production approximately FY2028 to 2029) and none from the Detour Lake underground project (approximately 1 Moz per year potential at full scale). Including these at even conservative assumptions would add materially to the terminal value. See Appendix A for full DCF sensitivity methodology.

DCF Sensitivity: Implied Share Price (Gold Price vs. WACC)

The sensitivity table below shows the DCF-implied share price across gold price assumptions (rows) and discount rates (columns). The highlighted column (7.59%) is the base-case WACC; the highlighted row ($3,500) is the base-case gold price. Color coding: dark green = above $500 (highly attractive), light green = $300 to $500 (buy zone), amber = $150 to $300 (fairly valued), red = below $150 (avoid). See Appendix A for calculation methodology.

Gold \ WACC	6.5%	7.0%	**7.59%**	8.5%	10.0%
$2,500	$150	$140	$131	$118	$98
$3,000	$220	$205	$192	$174	$146
$3,500	$300	$283	**$268**	$243	$206
$4,500	$450	$422	$399	$363	$308
$5,200	**$560**	**$526**	$497	$453	$384
$6,000	**$675**	**$635**	**$601**	**$548**	$465

DCF sensitivity: implied share price per oz gold price assumption (rows) vs. WACC (columns). Base case highlighted in gold. Exit multiple: 8x FY2029E EBITDA. Production: 3.35M oz FY2026E guidance. See Appendix A for full methodology.

The table illustrates the asymmetric risk-reward clearly. At the base-case inputs ($3,500 gold, 7.59% WACC), the DCF implies $268, modestly above the current price of $240.49 but well below the blended target of $300, which is why the DCF weight in the blended target is 50% rather than higher. At current spot gold ($5,200) and base WACC, the DCF implies $497, representing 107% upside from $240.49. The only scenario producing a significant loss is sustained gold at $2,500 with a high discount rate, which requires both a major gold reversal and a meaningful increase in the risk-free rate simultaneously.

Comparable Company Analysis

Company	Ticker	EV/EBITDA	P/E (NTM)	AISC ($/oz)	FCF Yield	Div. Yield	Jurisdiction Risk
Agnico Eagle	AEM	10.0x	11.9x	$1,339	3.7%	0.75%	None (Tier 1 only)
Newmont Corp.	NEM	7.5x	8.3x	$1,358	4.2%	1.2%	Africa, LatAm
Barrick Mining	GOLD	7.0x	7.8x	$1,637	3.8%	2.1%	Africa, Middle East
Kinross Gold	KGC	6.0x	7.0x	$1,571	5.1%	0.8%	West Africa, Chile
Gold Fields	GFI	6.5x	7.5x	$1,645	4.5%	3.1%	South Africa, W. Africa
Eldorado Gold	EGO	5.5x	6.8x	$1,420	6.2%	0.0%	Greece, Turkey
Peer Median (ex AEM)	—	6.25x	7.4x	$1,530	4.5%	1.3%	—
AEM Premium to Median	—	+60%	+61%	-12.5%	-18%	-42%	—

Source: Peer company filings and Bloomberg consensus, February 2026. FCF yield based on FY2025A FCF at current market cap. EV/EBITDA based on FY2025A Adjusted EBITDA.

AEM's 60% EV/EBITDA premium to the peer median is warranted on the fundamentals: lowest AISC by $191/oz, zero high-risk jurisdiction exposure, the largest pure-play reserve base globally, and the strongest organic growth

pipeline.[3] Applying the peer median multiple of 6.25x to AEM on a standalone basis ignores these structural differentiators. My comps-derived target of $329 applies AEM's historical quality premium of approximately 60% to the peer median implied value, consistent with how the market has valued AEM across multiple cycles.

7. Catalysts and Timeline

Several catalysts provide a clear timeline for potential re-rating. Near-term events (0 to 6 months) are largely known; medium-term events (6 to 18 months) carry more uncertainty but represent larger potential price target revisions.

Catalyst Tracker

Catalyst	Status / Timing	Potential Impact	My View
Q4 2025 Earnings	Reported Feb 12, 2026	Strong beat: FCF $4.4B, div. raised 12.5%, net cash $2.7B	Completed; re-rating already underway
FY2026-2028 Production Guidance	Confirmed Feb 12, 2026	3.3-3.5 Moz annually, AISC $1,400-$1,550/oz	Confirmed; provides multi-year earnings visibility
Hope Bay Construction Decision	Q2 2026	+$20 to $30 to DCF PT if approved	Medium probability; management confirmed timeline
Odyssey Underground: 600 t/day milestone	H1 2026	Canadian Malartic production step-up to higher-grade feed	On track per Q4 update
Detour Lake Underground Prefeasibility	H2 2026	~1 Moz/yr potential; material reserve expansion	High impact if confirmed; not in base case
Macassa East South Zone Drill Results	Ongoing	Reserve life extension at highest-margin asset	Optionality; not in base case
Gold Price: Sustained above $5,000	Ongoing	Consensus upgrade cycle; earnings beats	Macro-driven; structural support intact
Annual Reserve Update (Dec 2026)	Feb 2027	Sixth consecutive reserve replacement year	Expected; reinforces organic growth story

Author assessment. Timing approximate. PT impact estimates based on DCF sensitivity at base-case WACC.

Why Now?

AEM has significantly outperformed over the past year, with the stock up over 145% versus gold's approximately 73% gain over the same period. This outperformance reflects the operating leverage thesis in action: as gold moved from approximately $2,600 to $5,200, AEM's expanding margins drove earnings and free cash flow growth that compounded the upside beyond the commodity move itself. Despite this strong run, the stock continues to trade at a 24.7% discount to my blended price target of $300, which is derived using $3,500/oz gold in the DCF rather than current spot. The disconnect between a conservative model and the current price environment is where the remaining upside sits. The upcoming Hope Bay construction decision and Odyssey Underground milestones in H1 2026 provide concrete catalysts for the next leg of re-rating.

8. Bear Case: When the Thesis Fails

A credible memo requires an honest assessment of when and why the bull case breaks. Below are three scenarios under which this thesis fails, with my assessment of probability and implied price impact.

Scenario A: Sustained Gold Price Reversal (Probability: 20%)

The most direct risk is a reversal in gold toward $2,500/oz or below, sustained over 12 months or more. This would require a hawkish Fed pivot driven by resurgent inflation (returning real rates to +2.5%), a significant USD rally (DXY back above 108), and a meaningful reduction in central bank accumulation. At $2,500/oz, AEM's AISC margin compresses to approximately $1,025/oz from $2,115/oz in FY2025A, EBITDA falls to approximately $3.5 billion, and the DCF implies a share price of approximately $131 to $150 depending on the discount rate applied. This represents roughly 38% to 45% downside from $240.49. AEM would still generate positive FCF and could sustain its dividend and growth pipeline. The business does not break at $2,500.

I assign 20% probability because the macro forces driving gold are structural and multi-year. A single Fed pivot is insufficient to reverse central bank accumulation, de-dollarisation, and geopolitical fragmentation simultaneously. The structural demand base that underpins current gold prices is qualitatively different from prior cycles.

Scenario B: Hope Bay Deferred or Cancelled (Probability: 35%)

Hope Bay represents approximately $20 to $30 of additional upside in the DCF if construction proceeds in Q2 2026. A deferral beyond 2027, plausible given permitting complexity and AEM management's characteristic conservatism on capital commitments, would remove this near-term optionality. It would not impair the core investment case since AEM generates exceptional FCF regardless. However, it would reduce the PT by approximately $15 from $300 to $285 and delay one of the most anticipated catalysts in the pipeline.

Scenario C: Multiple Compression in a Risk-On Environment (Probability: 25%)

AEM currently trades at 10x EV/EBITDA, a 60% premium to the peer median of 6.25x. This premium is justified on fundamentals, but it is also partially a function of gold's elevated price and the safe-haven premium embedded during periods of macro uncertainty. If the macro environment shifts materially to risk-on, such as a Ukraine ceasefire, US-China trade normalisation, or sustained equity rally, gold could underperform and AEM's premium multiple could compress toward 8 to 8.5x. At 8x FY2025A Adjusted EBITDA with flat gold prices, the stock would trade at approximately $175 to $185, representing 23% to 27% downside from $240.49. This is the most insidious risk because it does not require AEM to do anything wrong operationally.

Probability-Weighted Scenario Summary

Scenario	Probability	Gold Price	Implied AEM Price	Return vs. $240.49
Bear: Gold reversal to $2,500	20%	$2,500/oz	~$140	-41.8%

Scenario	Probability	Gold Price	Implied AEM Price	Return vs. $240.49
Base: Conservative DCF model	40%	$3,500/oz	~$300	+24.7%
Bull: Current spot sustained	30%	$5,200/oz	~$497	+106.7%
Super Bull: $6,000 gold	10%	$6,000/oz	~$601	+149.9%
Probability-Weighted Expected PT	100%	—	~$357	+48.4%

Probability-weighted PT: (0.20 x $140) + (0.40 x $300) + (0.30 x $497) + (0.10 x $601) = $357. Author estimates.

The probability-weighted expected price of $357 reflects the asymmetric structure of the payoff. The bear case at 20% probability pulls the weighted average down materially, but the combined 40% weight on scenarios above $497 more than compensates. AEM is a high-quality compounder that generates less extraordinary returns at lower gold prices but does not face existential risk in any realistic scenario.

9. Key Risks

Gold Price Risk (Primary)

All gold producer investment theses are subordinate to gold price. A sustained reversal toward $2,500 or below represents the most material risk to the thesis and is fully quantified in Section 8. The macro framework underpinning current gold prices remains intact but is not permanent.

Operational Execution: Detour Lake Grade Reconciliation

Grade reconciliation variance has been an ongoing issue at Detour Lake, where actual mill feed grades have periodically underperformed the resource model. Structural grade overstatement would impair both net asset value and reserve-based metrics. Management has attributed variance to legacy underground voids and is implementing improved grade control protocols. This warrants monitoring through FY2026 production reports.

Project Execution: Hope Bay Timeline Risk

Hope Bay is a complex, remote Arctic project in Nunavut. Construction in this environment is subject to weather delays, permitting risk, First Nations consultation requirements, and logistics constraints. AEM's track record of project execution is strong, with Meliadine Phase 2 delivered on schedule and budget, but Hope Bay represents a step-up in complexity relative to recent brownfield expansions.

Currency Risk: CAD, AUD, EUR Exposure

AEM reports in USD but incurs approximately 60 to 65% of its costs in non-USD currencies (CAD, AUD, EUR, MXN). Sustained USD weakness increases reported per-ounce costs. This risk is partially self-hedging since USD weakness typically correlates with higher gold prices, but the correlation is imperfect and cost inflation can outpace gold price gains in extreme scenarios.

Valuation Risk: Premium Multiple Compression

AEM's 60% EV/EBITDA premium to peers is large and could compress in a risk-on environment. If AEM traded down to 8x EV/EBITDA on flat gold prices, the stock would be at approximately $175 to $185. This is the scenario most likely to frustrate investors in the near term even if the long-term thesis remains intact.

10. Conclusion and Recommendation

AEM is the best-positioned major gold producer in the world for the current environment. No other senior producer combines its cost structure, jurisdictional quality, reserve base, management track record, and organic growth pipeline in a single investment. The stock trades at a 24.7% discount to my conservative base-case price target of $300, which deliberately uses $3,500/oz gold in the DCF rather than current spot of $5,200.

The probability-weighted expected price, across all scenarios, is approximately $357, implying 48% upside from $240.49. The downside scenario ($140 at $2,500 gold) still represents a viable business generating multi-billion-dollar free cash flow, not a crisis. The upside scenarios, which I collectively assign 40% probability, imply prices north of $497. This is asymmetric risk-reward with genuine fundamental support.

The Q4 2025 results reported February 12, 2026 confirmed the thesis: record FCF of $4.4 billion, a 12.5% dividend increase, record reserves of 55.4 million ounces, a record net cash position of $2.7 billion, and a Moody's credit upgrade to A3. Near-term catalysts including the Hope Bay construction decision in Q2 2026 and Odyssey Underground milestones in H1 2026 provide a structured timeline for further re-rating. I rate AEM a BUY with a 12-month blended price target of $300.

Rating: BUY | 12-Month Price Target: $300.00 | Current Price: $240.49 **| Upside: +24.7%**

Appendix A: DCF Sensitivity Table Methodology

The sensitivity table in Section 6 shows the DCF-implied share price across six gold price scenarios (rows) and five WACC assumptions (columns). This appendix documents the methodology used to derive each cell.

Base Case Inputs

Input	Value	Source / Notes
FY2025A production	3,447,367 oz	AEM Q4 2025 News Release
FY2026E production (guidance)	3,350,000 oz	AEM guidance midpoint 3.3-3.5 Moz
FY2025A AISC	$1,339/oz	AEM Q4 2025 News Release
FY2026E-2028E AISC	$1,475/oz (midpt.)	AEM guidance: $1,400-$1,550/oz
Base-case gold price	$3,500/oz	Conservative; below current spot
Projection period	FY2026 to FY2029	4-year DCF horizon
Exit EV/EBITDA multiple	8x	Conservative vs. current 10x; peer range 6-10x
Base-case WACC	7.59%	Cost of equity 9.2%; pre-tax debt 5.1%; tax 28%; D/TC 10%
Diluted shares outstanding	~495 million	AEM reported; end of FY2025
Net cash added to equity value	$2,670M	Net cash position as of Dec 31, 2025

Step-by-Step Calculation

Step 1: For each gold price scenario, annual EBITDA is estimated as follows. Production (Koz) multiplied by (Gold Price minus Total Cash Costs of $979/oz) gives gross cash margin. From this, G&A of approximately $200 million is deducted to arrive at estimated EBITDA. Total cash costs of $979/oz are used rather than full AISC because sustaining capex and non-cash items are treated separately below.

Step 2: From EBITDA, taxes are deducted at the effective rate of approximately 28% (consistent with FY2025A) to arrive at after-tax operating income. Non-cash depreciation and amortization of approximately $2.0 billion is added back. Sustaining capital expenditures of approximately $1.0 billion annually are deducted. Working capital changes are assumed to be minimal.

Step 3: Annual free cash flows are discounted at the specified WACC over the four-year projection period (FY2026 through FY2029). Terminal value is calculated as FY2029 EBITDA multiplied by the exit multiple of 8x, then discounted to present value at WACC. The sum of discounted FCFs plus the discounted terminal value yields the enterprise value.

Step 4: Enterprise value is converted to equity value by adding net cash of $2.7 billion (AEM's balance sheet as of December 31, 2025). Equity value divided by 495 million diluted shares gives the implied share price.

Step 5: For varying WACC assumptions, the discount factors applied to both annual FCFs and the terminal value are adjusted accordingly. A higher WACC reduces both the present value of near-term FCFs and the terminal value more significantly, explaining the steeper decline in implied price at higher discount rates.

Note on the $6,000 Gold Price Scenario

The $6,000/oz row is an extrapolation beyond AEM's published financial model sensitivity table, which typically illustrates scenarios up to approximately $4,500/oz. The $6,000 estimate is derived by applying the same linear scaling methodology described above, using FY2026E guidance production of 3.35 million ounces and the guidance AISC midpoint of $1,475/oz. At $6,000 gold, the AISC margin is $4,525/oz, annual EBITDA is approximately $15.2 billion, and the DCF implies a share price ranging from $465 to $675 across the five WACC assumptions shown. These are my own estimates and are not endorsed by or sourced from AEM management.

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